

3.1.7 Expanding a business

Content	Additional information
• Methods of expansion • Benefits and drawbacks of expansion • Economies of scale • Diseconomies of scale	Students should be able to: • discuss the advantages and disadvantages of methods of growth • understand the methods used by businesses when expanding (organic growth through franchising, opening new stores and expanding through e-commerce, outsourcing and external growth through mergers and takeovers) • understand the benefits of growth in terms of unit cost advantages due to economies of scale and the drawbacks of growth due to diseconomies of scale • understand the meaning of purchasing and technical economies of scale • understand that with growth businesses increase the risk of diseconomies of scale occurring due to poor communication, coordination issues and reduced staff motivation • calculate and interpret average unit costs.